

SECTION D
ECONOMICS (20 marks)

1. In a village, five members of a family work on a small farm, but even if two members leave, the total production remains unchanged.

This situation is best described as:

- A. Seasonal unemployment**
- B. Disguised unemployment**
- C. Educated unemployment**
- D. Structural unemployment**

2. The Human Development Report compares countries not only on the basis of income but also on health and education indicators. What can be inferred about the importance of health and education in measuring development?

- A. Income alone is sufficient to measure development.**
- B. Health and education have no relation with economic development.**
- C. Development is multi-dimensional and cannot be judged only by income.**
- D. Countries with high income automatically have high literacy and life expectancy.**

3. Based on the working conditions of Kanta and Kamal, which of the following examples best demonstrates the difference between the organised and unorganised sectors?

- A. A government school teacher receives a fixed salary, paid leave, and pension benefits, while a street vendor earns daily income without job security or benefits.**
- B. A farmer grows crops on his own land and sells them in the market with government support.**
- C. A factory produces goods using machines and hires workers for fixed working hours only during peak season.**
- D. A company provides overtime payment but does not give appointment letters to its employees.**

4. Based on the information about credit sources and the role of RBI, which of the following examples best explains why formal sector loans are considered more reliable than informal sector loans?

- A. A moneylender gives a loan quickly without paperwork but charges very high interest and is not supervised by any authority.
- B. A commercial bank gives loans to farmers and small industries under RBI supervision and follows fixed rules regarding interest rates.
- C. A trader lends money to a farmer and decides the repayment conditions on his own.
- D. Relatives and friends provide loans without charging interest and without any written agreement.

5. Person Y explains how banks help in increasing economic activities by using deposits effectively. Which of the following justifications would best support his/her explanation?

- A. Banks keep all the deposits safely in lockers and do not use them for lending purposes.
- B. Banks use a major portion of deposits to give loans, acting as intermediaries between depositors and borrowers.
- C. Banks return all deposits immediately and do not charge any interest on loans.
- D. Banks keep most of the deposits as cash and rarely provide loans to the public.

6. Recognize and choose the option that correctly matches the factors of globalisation with their outcomes.

Column A (Factors of Globalisation)

1. Rapid improvement in across transportation technology

2. Development of Information across the Technology (IT)

3. Removal of trade barriers (Liberalisation)

4. Expansion of MNCs globally

Column B (Outcomes)

i. Faster and cheaper movement of goods countries

ii. Instant communication and e-banking world

iii. Easy import and export of goods

iv. Integration of production and markets

Choose the correct option:

- A. 1-ii, 2-i, 3-iv, 4-iii
- B. 1-i, 2-ii, 3-iii, 4-iv
- C. 1-iii, 2-iv, 3-i, 4-ii
- D. 1-iv, 2-iii, 3-ii, 4-i

7. On what basis is the criterion used by the United Nations Development Programme (UNDP) for measuring development different from the one used by the World Bank ? Explain. **3**

8. How does the credit vary substantially between formal and informal lenders? Explain with examples. **3**

9. "The development process of India has experienced transformation due to the significant influence of Information Technology (I.T.) and Electronic Industry." Explain the statement with examples. **3**

10. A researcher observed that between 1977–78 and 2017–18, the tertiary sector became the largest producing sector in India. After studying different services in urban and rural areas, the researcher concluded that multiple economic and social factors were responsible for the rapid growth of the tertiary sector. Analyse the key reasons that must have helped the researcher reach this conclusion. **5**

OR

"Self Help Groups (SHGs) are the building blocks of organisation of the rural poor." Support the statement with examples.